CIA Part 1 – Questions 301–400 (Hard, Wilson-Style)

IT, Data Analytics, Financial, Public-Sector & Ethics Focus

Study Deck

October 17, 2026

Format

100 new questions (Q301–Q400), none repeated from Q1–Q300.

Focus shift: IT/cybersecurity, data analytics, financial audit procedures, public-sector/NFP, ethics case scenarios, advanced judgment.

Style: "which is best," "which is LEAST likely," "MOST likely."

Each: stem + A–D, then a detailed explanation slide.

Q301

Question: An auditor is reviewing a cloud service provider's SOC 2 Type II report. Which is the MOST important consideration?

A. The report covers a period, so the auditor must assess whether the period is recent enough and whether complementary user entity controls (CUECs) are implemented.

B. The report guarantees the provider is secure.

C. The report replaces the need for any internal audit testing.

D. The report is only relevant to external audit.

Correct Answer: A

Q301 – Explanation

Correct: A. A SOC 2 Type II covers a period; the auditor must evaluate the period's relevance and confirm the client implemented the CUECs.

B wrong: No report guarantees security.

C wrong: SOC reports inform, but do not eliminate, internal audit testing.

D wrong: SOC reports are relevant to internal audit too.

Q302

Question: Which is the BEST description of "complementary user entity controls" (CUECs)?

A. Controls the service provider performs.

B. Controls the user entity must implement for the provider's controls to be effective.

C. Controls that are optional.

D. Controls that replace internal audit.

Correct Answer: B

Q302 – Explanation

Correct: B. CUECs are controls the client must implement for the provider's controls to be effective.

A wrong: Those are provider controls.

C wrong: CUECs are necessary, not optional.

D wrong: CUECs supplement internal audit.

Q303

Question: An auditor uses data analytics to test 100% of a transaction population. Which is the MOST likely benefit?

A. Eliminates the need for professional judgment.

B. Enables full-population testing and identifies anomalies that sampling might miss.

C. Replaces the audit report.

D. Guarantees no fraud.

Correct Answer: B

Q303 – Explanation

Correct: B. Full-population analytics can identify anomalies and patterns that sampling may miss.

A wrong: Judgment is always required.

C wrong: Analytics does not replace the report.

D wrong: No method guarantees no fraud.

Q304

Question: Which is the BEST way to test the reliability of a data analytics result?

A. Trust the tool blindly.

B. Validate completeness and accuracy of the source data and reconcile to the general ledger.

C. Rely on management's statement.

D. Skip validation if the tool is expensive.

Correct Answer: B

Q304 – Explanation

Correct: B. Validate the completeness and accuracy of source data and reconcile to the GL.

A wrong: Blind trust is improper.

C wrong: Management's statement is not validation.

D wrong: Cost does not replace validation.

Q305

Question: Which is the MOST likely risk of using a "black box" data analytics tool?

A. The tool is too fast.

B. The auditor cannot explain or validate the logic behind the results.

C. The tool produces too much documentation.

D. The tool is too cheap.

Correct Answer: B

Q305 – Explanation

Correct: B. If the logic is opaque, the auditor cannot validate or explain the results.

A wrong: Speed is not a risk.

C wrong: Documentation is not a risk.

D wrong: Cost is not a risk.

Q306

Question: An auditor is testing a public-sector entity's compliance with procurement rules. Which is the MOST important consideration?

A. Profitability.

B. Compliance with laws, regulations, and public accountability.

C. Shareholder returns.

D. Marketing strategy.

Correct Answer: B

Q306 – Explanation

Correct: B. Public-sector audits emphasize compliance, stewardship, and accountability.

A wrong: Profit is not the primary objective.

C wrong: Shareholders are not the focus.

D wrong: Marketing is unrelated.

Q307

Question: Which is the BEST description of "value for money" (VFM) auditing?

A. Auditing financial statements only.

B. Assessing economy, efficiency, and effectiveness of resource use.

C. Auditing marketing campaigns.

D. Auditing only compliance.

Correct Answer: B

Q307 – Explanation

Correct: B. VFM audits assess economy, efficiency, and effectiveness.

A wrong: Financial statements are one area.

C wrong: Marketing is one activity, not VFM.

D wrong: Compliance is one dimension, not the whole.

Q308

Question: An auditor is testing a not-for-profit's restricted funds. Which is the MOST important consideration?

A. Profit maximization.

B. Compliance with donor restrictions and proper classification.

C. Marketing strategy.

D. Shareholder returns.

Correct Answer: B

Q308 – Explanation

Correct: B. Restricted funds must be used per donor stipulations and properly classified.

A wrong: NFP objectives are mission-based, not profit.

C wrong: Marketing is unrelated.

D wrong: NFPs have no shareholders.

Q309

Question: Which is the MOST appropriate way to test the completeness of a public-sector entity's revenue?

A. Trace from receipts to recorded revenue.

B. Trace from recorded revenue to receipts.

C. Review the budget.

D. Interview the finance director.

Correct Answer: A

Q309 – Explanation

Correct: A. Tracing from receipts (source) to recorded revenue tests completeness.

B wrong: Recorded-to-receipts tests existence.

C wrong: Budget review is not evidence.

D wrong: Inquiry alone is weak.

Q310

Question: Which is the BEST description of "accountability" in public-sector governance?

A. Maximizing profit.

B. Being answerable for the use of public resources and results.

C. Marketing success.

D. Shareholder value.

Correct Answer: B

Q310 – Explanation

Correct: B. Accountability is answerability for the use of public resources and results.

A wrong: Profit is not the focus.

C wrong: Marketing is unrelated.

D wrong: Shareholder value is private-sector.

Q311

Question: An auditor discovers a colleague has falsified a workpaper. Which is the MOST appropriate action?

A. Ignore it.

B. Report the matter through appropriate channels (e.g., CAE/ethics hotline).

C. Confront the colleague privately and drop it.

D. Alter the workpaper yourself.

Correct Answer: B

Q311 – Explanation

Correct: B. Falsified workpapers are an integrity issue; report through proper channels.

A wrong: Ignoring misconduct is a violation.

C wrong: Private resolution may hide misconduct.

D wrong: Altering evidence is itself misconduct.

Q312

Question: Which is the BEST description of "confidentiality" under the IIA Code?

A. Sharing all information freely.

B. Protecting information acquired in the course of duties and not using it for personal benefit.

C. Publishing findings online.

D. Discussing work with anyone.

Correct Answer: B

Q312 – Explanation

Correct: B. Confidentiality requires protecting information and not using it for personal gain.

A wrong: Free sharing breaches confidentiality.

C wrong: Publishing breaches confidentiality.

D wrong: Discussing with anyone is a breach.

Q313

Question: An auditor is asked to disclose confidential information during a legal proceeding. Which is the MOST appropriate action?

A. Refuse to disclose anything.

B. Disclose only when legally required and after informing appropriate authorities.

C. Disclose everything publicly.

D. Disclose to the media.

Correct Answer: B

Q313 – Explanation

Correct: B. Disclose only when legally required, informing appropriate authorities first.

A wrong: Absolute refusal may be illegal.

C wrong: Public disclosure is improper.

D wrong: Media disclosure violates confidentiality.

Q314

Question: Which is the BEST description of "competency" under the IIA Code?

A. Holding any certification.

B. Using the knowledge, skills, and experience needed to perform duties.

C. Avoiding training.

D. Delegating all work.

Correct Answer: B

Q314 – Explanation

Correct: B. Competency is applying the necessary knowledge, skills, and experience.

A wrong: A certification alone does not guarantee competency.

C wrong: Avoiding training undermines competency.

D wrong: Delegation does not replace competency.

Q315

Question: An auditor is offered a consulting engagement by the CEO to design a new internal control system. Which is the MOST appropriate response?

A. Accept and later audit the system.

B. Accept only if the auditor does not assume management responsibility and can maintain objectivity.

C. Decline all consulting.

D. Accept and manage the implementation.

Correct Answer: B

Q315 – Explanation

Correct: B. Consulting is permitted if objectivity is maintained and management responsibility is avoided.

A wrong: Self-review threat if you audit your own design.

C wrong: Consulting is permitted.

D wrong: Managing implementation is a management role.

Q316

Question: Which is the MOST likely effect of auditor involvement in designing a control on future assurance?

A. It enhances objectivity.

B. It creates a self-review threat that may preclude later assurance.

C. It has no effect.

D. It guarantees control effectiveness.

Correct Answer: B

Q316 – Explanation

Correct: B. Designing a control creates a self-review threat; later assurance on it may be impaired.

A wrong: It impairs objectivity.

C wrong: It has a significant effect.

D wrong: Design does not guarantee effectiveness.

Q317

Question: Which is the BEST way to test IT general controls (ITGCs)?

A. Rely on management's assertion.

B. Test access, change management, and operations controls.

C. Review the IT budget.

D. Interview the CIO only.

Correct Answer: B

Q317 – Explanation

Correct: B. ITGCs cover access, change management, and operations controls.

A wrong: Assertions alone are insufficient.

C wrong: Budget review is not a control test.

D wrong: Interviews alone are weak.

Q318

Question: An auditor discovers that a terminated employee still has system access. Which is the MOST likely risk?

A. Excessive efficiency.

B. Unauthorized access and potential fraud or data breach.

C. Better controls.

D. Improved segregation of duties.

Correct Answer: B

Q318 – Explanation

Correct: B. Terminated employees with access pose a security and fraud risk.

A wrong: It is not a benefit.

C wrong: It is a weakness.

D wrong: It weakens segregation.

Q319

Question: Which is the BEST description of "change management" in IT?

A. Making changes without approval.

B. A process to authorize, test, and approve changes to systems.

C. Hiring staff.

D. Reviewing the budget.

Correct Answer: B

Q319 – Explanation

Correct: B. Change management authorizes, tests, and approves system changes.

A wrong: Changes require approval.

C wrong: Hiring is unrelated.

D wrong: Budget review is unrelated.

Q320

Question: Which is the MOST likely risk of poor change management?

A. Faster deployments.

B. Unauthorized or untested changes that cause errors or fraud.

C. Better documentation.

D. Stronger controls.

Correct Answer: B

Q320 – Explanation

Correct: B. Poor change management permits unauthorized/untested changes.

A wrong: Speed is not a benefit if uncontrolled.

C wrong: Documentation suffers.

D wrong: Controls are weaker.

Q321

Question: An auditor uses CAATs to test all payments above a threshold. Which is the MOST appropriate next step?

A. Ignore the exceptions.

B. Investigate the exceptions and obtain explanations.

C. Re-run the tool.

D. Delete the results.

Correct Answer: B

Q321 – Explanation

Correct: B. Exceptions require investigation and explanation.

A wrong: Ignoring is improper.

C wrong: Re-running does not address exceptions.

D wrong: Deleting evidence is misconduct.

Q322

Question: Which is the BEST description of "continuous auditing"?

A. Auditing once a year.

B. Ongoing testing and monitoring enabled by technology.

C. Auditing only at year-end.

D. Auditing only when asked.

Correct Answer: B

Q322 – Explanation

Correct: B. Continuous auditing uses technology for ongoing testing and monitoring.

A wrong: Annual is not continuous.

C wrong: Year-end is periodic.

D wrong: On-demand is not continuous.

Q323

Question: An auditor is testing a public-sector entity's compliance with a law. Which is the MOST appropriate evidence?

A. Management's representation.

B. Inspection of original documents and legal opinions.

C. Review of the budget.

D. Interview with staff.

Correct Answer: B

Q323 – Explanation

Correct: B. Original documents and legal opinions are strong compliance evidence.

A wrong: Representations are weak.

C wrong: Budgets are not compliance evidence.

D wrong: Inquiry alone is weak.

Q324

Question: Which is the MOST likely indicator of procurement fraud in a public entity?

A. Competitive bidding.

B. Split purchases to avoid approval thresholds.

C. Timely payments.

D. Documented approvals.

Correct Answer: B

Q324 – Explanation

Correct: B. Splitting purchases to avoid approval thresholds is a classic fraud red flag.

A wrong: Competitive bidding is a control.

C wrong: Timely payment is positive.

D wrong: Documented approvals are positive.

Q325

Question: Which is the BEST description of "data integrity" in an audit context?

A. Data is colorful.

B. Data is accurate, complete, and unaltered.

C. Data is expensive.

D. Data is new.

Correct Answer: B

Q325 – Explanation

Correct: B. Data integrity means accuracy, completeness, and unaltered state.

A wrong: Color is irrelevant.

C wrong: Cost is irrelevant.

D wrong: Recency is not integrity.

Q326

Question: An auditor uses a data analytics script that filters transactions above a threshold. Which is the MOST likely risk?

A. The threshold may exclude relevant transactions (incompleteness).

B. The script is too fast.

C. The script produces too much documentation.

D. The script is too cheap.

Correct Answer: A

Q326 – Explanation

Correct: A. Filtering risks excluding relevant transactions, creating incompleteness.

B wrong: Speed is not a risk.

C wrong: Documentation is not a risk.

D wrong: Cost is not a risk.

Q327

Question: Which is the BEST way to test the completeness of a public-sector entity's payroll?

A. Reconcile payroll to the general ledger.

B. Compare payroll to active employee records and time records.

C. Review the budget.

D. Interview the payroll manager.

Correct Answer: B

Q327 – Explanation

Correct: B. Comparing payroll to employee and time records tests completeness.

A wrong: Reconciliation checks totals.

C wrong: Budgets are not evidence.

D wrong: Inquiry alone is weak.

Q328

Question: An auditor discovers a possible conflict of interest involving a senior official. Which is the MOST appropriate action?

A. Ignore it.

B. Document and report through appropriate channels.

C. Confront the official directly.

D. Discuss it with the media.

Correct Answer: B

Q328 – Explanation

Correct: B. Document and report through proper channels.

A wrong: Ignoring conflicts is improper.

C wrong: Direct confrontation may compromise investigation.

D wrong: Media disclosure is inappropriate.

Q329

Question: Which is the BEST description of "whistleblower protection"?

A. Punishing whistleblowers.

B. Protecting individuals who report misconduct in good faith.

C. Ignoring reports.

D. Sharing names publicly.

Correct Answer: B

Q329 – Explanation

Correct: B. Whistleblower protection shields good-faith reporters of misconduct.

A wrong: Punishment is illegal/improper.

C wrong: Ignoring reports is improper.

D wrong: Public sharing breaches confidentiality.

Q330

Question: An auditor is testing a public-sector entity's compliance with environmental laws. Which is the MOST appropriate evidence?

A. Management's representation.

B. Inspection of permits, monitoring reports, and legal correspondence.

C. Review of the budget.

D. Interview with staff.

Correct Answer: B

Q330 – Explanation

Correct: B. Permits, monitoring reports, and legal correspondence are strong compliance evidence.

A wrong: Representations are weak.

C wrong: Budgets are not compliance evidence.

D wrong: Inquiry alone is weak.

Q331

Question: Which is the MOST likely effect of strong IT controls on the financial audit?

A. They may allow reliance on automated controls and reduce substantive testing.

B. They eliminate substantive testing.

C. They increase fraud risk.

D. They remove the need for planning.

Correct Answer: A

Q331 – Explanation

Correct: A. Strong IT controls support reliance and can reduce substantive testing.

B wrong: Some substantive work remains.

C wrong: They reduce risk.

D wrong: Planning is always required.

Q332

Question: Which is the BEST way to test access to a sensitive system?

A. Review the policy.

B. Examine user access logs and roles against the access matrix.

C. Interview the IT director.

D. Review the budget.

Correct Answer: B

Q332 – Explanation

Correct: B. Comparing access logs and roles to the approved matrix tests access control.

A wrong: Policy review tests design.

C wrong: Inquiry alone is weak.

D wrong: Budget review is irrelevant.

Q333

Question: An auditor discovers that a backup was never tested. Which is the MOST likely risk?

A. Data may be unrecoverable when needed.

B. The backup is too fast.

C. The backup uses too much space.

D. The backup is too cheap.

Correct Answer: A

Q333 – Explanation

Correct: A. Untested backups may fail to restore, causing data loss.

B wrong: Speed is not a risk.

C wrong: Space is not a risk.

D wrong: Cost is not a risk.

Q334

Question: Which is the BEST description of "cybersecurity risk"?

A. Risk of losing market share.

B. Risk of unauthorized access, data breach, or cyber-attack.

C. Risk of fraud only.

D. Risk of violating laws.

Correct Answer: B

Q334 – Explanation

Correct: B. Cybersecurity risk covers unauthorized access, breaches, and attacks.

A wrong: Market share is strategic.

C wrong: Fraud is one category.

D wrong: Legal violations are compliance risk.

Q335

Question: An auditor is testing a public-sector entity's compliance with a grant agreement. Which is the MOST important consideration?

A. Profitability.

B. Compliance with grant terms and eligibility of expenditures.

C. Marketing strategy.

D. Shareholder returns.

Correct Answer: B

Q335 – Explanation

Correct: B. Grant compliance requires adherence to terms and eligible expenditures.

A wrong: Profit is not the focus.

C wrong: Marketing is unrelated.

D wrong: Shareholders are not the focus.

Q336

Question: Which is the MOST likely effect of poor data quality on analytics?

A. Reliable results.

B. Unreliable conclusions and incorrect audit findings.

C. Faster results.

D. Better documentation.

Correct Answer: B

Q336 – Explanation

Correct: B. Poor data quality leads to unreliable conclusions.

A wrong: Results are unreliable.

C wrong: Speed is not a benefit.

D wrong: Documentation suffers.

Q337

Question: Which is the BEST way to test the accuracy of a system-generated report?

A. Trust the system.

B. Reconcile the report to source data and test report logic.

C. Interview the IT director.

D. Review the budget.

Correct Answer: B

Q337 – Explanation

Correct: B. Reconciling to source data and testing logic validates report accuracy.

A wrong: Blind trust is improper.

C wrong: Inquiry alone is weak.

D wrong: Budget review is irrelevant.

Q338

Question: An auditor is testing a public-sector entity's compliance with a debt covenant. Which is the MOST appropriate evidence?

A. Management's representation.

B. Inspection of the covenant and computation of compliance ratios.

C. Review of the budget.

D. Interview with staff.

Correct Answer: B

Q338 – Explanation

Correct: B. Inspecting the covenant and recomputing ratios tests compliance.

A wrong: Representations are weak.

C wrong: Budgets are not compliance evidence.

D wrong: Inquiry alone is weak.

Q339

Question: Which is the BEST description of "data governance"?

A. Marketing strategy.

B. Processes and structures to manage data quality, security, and use.

C. The audit report.

D. The budget.

Correct Answer: B

Q339 – Explanation

Correct: B. Data governance manages data quality, security, and use.

A wrong: Marketing is unrelated.

C wrong: The report is an output.

D wrong: The budget is a resource.

Q340

Question: An auditor is testing a public-sector entity's compliance with a procurement law. Which is the MOST likely red flag?

A. Competitive bidding.

B. Non-competitive awards to related parties.

C. Documented approvals.

D. Timely payments.

Correct Answer: B

Q340 – Explanation

Correct: B. Non-competitive awards to related parties are a procurement red flag.

A wrong: Competitive bidding is a control.

C wrong: Documented approvals are positive.

D wrong: Timely payment is positive.

Q341

Question: Which is the MOST likely effect of a data breach on an organization?

A. Increased revenue.

B. Reputational damage, legal liability, and financial loss.

C. Stronger controls.

D. Better marketing.

Correct Answer: B

Q341 – Explanation

Correct: B. Data breaches cause reputational, legal, and financial harm.

A wrong: Revenue is not increased.

C wrong: Controls may be questioned.

D wrong: Marketing is unrelated.

Q342

Question: Which is the BEST way to test the completeness of IT change logs?

A. Review the policy.

B. Compare change logs to deployment records and approvals.

C. Interview the IT director.

D. Review the budget.

Correct Answer: B

Q342 – Explanation

Correct: B. Comparing logs to deployment records and approvals tests completeness.

A wrong: Policy review tests design.

C wrong: Inquiry alone is weak.

D wrong: Budget review is irrelevant.

Q343

Question: An auditor discovers that a public-sector entity has not followed its own procurement policy. Which is the MOST appropriate action?

A. Ignore it.

B. Document the finding, assess impact, and report through appropriate channels.

C. Confront staff directly.

D. Discuss with the media.

Correct Answer: B

Q343 – Explanation

Correct: B. Document, assess impact, and report appropriately.

A wrong: Ignoring is improper.

C wrong: Direct confrontation may compromise investigation.

D wrong: Media disclosure is inappropriate.

Q344

Question: Which is the BEST description of "audit trail"?

A. A marketing strategy.

B. A chronological record enabling reconstruction of transactions.

C. A budget.

D. The audit report.

Correct Answer: B

Q344 – Explanation

Correct: B. An audit trail records transactions chronologically, enabling reconstruction.

A wrong: Marketing is unrelated.

C wrong: The budget is a resource.

D wrong: The report is an output.

Q345

Question: Which is the MOST likely risk of an organization relying heavily on spreadsheets for key financial processes?

A. Strong controls.

B. Errors, manipulation, and lack of audit trail.

C. Faster reporting.

D. Better documentation.

Correct Answer: B

Q345 – Explanation

Correct: B. Spreadsheets have higher error/manipulation risk and weak audit trails.

A wrong: Controls may be weaker.

C wrong: Speed is not a control benefit.

D wrong: Documentation may be weaker.

Q346

Question: An auditor is testing a public-sector entity's compliance with a regulation. Which is the MOST appropriate evidence?

A. Management's representation.

B. Inspection of original documents and legal opinions.

C. Review of the budget.

D. Interview with staff.

Correct Answer: B

Q346 – Explanation

Correct: B. Original documents and legal opinions are strong compliance evidence.

A wrong: Representations are weak.

C wrong: Budgets are not compliance evidence.

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Q347

Question: Which is the BEST description of "cyber hygiene"?

A. Marketing strategy.

B. Basic security practices like patching, backups, and access control.

C. The audit report.

D. The budget.

Correct Answer: B

Q347 – Explanation

Correct: B. Cyber hygiene includes patching, backups, and access control.

A wrong: Marketing is unrelated.

C wrong: The report is an output.

D wrong: The budget is a resource.

Q348

Question: An auditor is testing a public-sector entity's compliance with a debt covenant. Which is the MOST appropriate evidence?

A. Management's representation.

B. Inspection of the covenant and computation of compliance ratios.

C. Review of the budget.

D. Interview with staff.

Correct Answer: B

Q348 – Explanation

Correct: B. Inspecting the covenant and recomputing ratios tests compliance.

A wrong: Representations are weak.

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Q349

Question: Which is the BEST description of "data governance"?

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Question: An auditor is testing a public-sector entity's compliance with a procurement law. Which is the MOST likely red flag?

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C. Documented approvals.

D. Timely payments.

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C. Stronger controls.

D. Better marketing.

Correct Answer: B

Q361 – Explanation

Correct: B. Data breaches cause reputational, legal, and financial harm.

A wrong: Revenue is not increased.

C wrong: Controls may be questioned.

D wrong: Marketing is unrelated.

Q362

Question: Which is the BEST way to test the completeness of IT change logs?

A. Review the policy.

B. Compare change logs to deployment records and approvals.

C. Interview the IT director.

D. Review the budget.

Correct Answer: B

Q362 – Explanation

Correct: B. Comparing logs to deployment records and approvals tests completeness.

A wrong: Policy review tests design.

C wrong: Inquiry alone is weak.

D wrong: Budget review is irrelevant.

Q363

Question: An auditor discovers that a public-sector entity has not followed its own procurement policy. Which is the MOST appropriate action?

A. Ignore it.

B. Document the finding, assess impact, and report through appropriate channels.

C. Confront staff directly.

D. Discuss with the media.

Correct Answer: B

Q363 – Explanation

Correct: B. Document, assess impact, and report appropriately.

A wrong: Ignoring is improper.

C wrong: Direct confrontation may compromise investigation.

D wrong: Media disclosure is inappropriate.

Q364

Question: Which is the BEST description of "audit trail"?

A. A marketing strategy.

B. A chronological record enabling reconstruction of transactions.

C. A budget.

D. The audit report.

Correct Answer: B

Q364 – Explanation

Correct: B. An audit trail records transactions chronologically, enabling reconstruction.

A wrong: Marketing is unrelated.

C wrong: The budget is a resource.

D wrong: The report is an output.

Q365

Question: Which is the MOST likely risk of an organization relying heavily on spreadsheets for key financial processes?

A. Strong controls.

B. Errors, manipulation, and lack of audit trail.

C. Faster reporting.

D. Better documentation.

Correct Answer: B

Q365 – Explanation

Correct: B. Spreadsheets have higher error/manipulation risk and weak audit trails.

A wrong: Controls may be weaker.

C wrong: Speed is not a control benefit.

D wrong: Documentation may be weaker.

Q366

Question: An auditor is testing a public-sector entity's compliance with a regulation. Which is the MOST appropriate evidence?

A. Management's representation.

B. Inspection of original documents and legal opinions.

C. Review of the budget.

D. Interview with staff.

Correct Answer: B

Q366 – Explanation

Correct: B. Original documents and legal opinions are strong compliance evidence.

A wrong: Representations are weak.

C wrong: Budgets are not compliance evidence.

D wrong: Inquiry alone is weak.

Q367

Question: Which is the BEST description of "cyber hygiene"?

A. Marketing strategy.

B. Basic security practices like patching, backups, and access control.

C. The audit report.

D. The budget.

Correct Answer: B

Q367 – Explanation

Correct: B. Cyber hygiene includes patching, backups, and access control.

A wrong: Marketing is unrelated.

C wrong: The report is an output.

D wrong: The budget is a resource.

Q368

Question: An auditor is testing a public-sector entity's compliance with a debt covenant. Which is the MOST appropriate evidence?

A. Management's representation.

B. Inspection of the covenant and computation of compliance ratios.

C. Review of the budget.

D. Interview with staff.

Correct Answer: B

Q368 – Explanation

Correct: B. Inspecting the covenant and recomputing ratios tests compliance.

A wrong: Representations are weak.

C wrong: Budgets are not compliance evidence.

D wrong: Inquiry alone is weak.

Q369

Question: Which is the BEST description of "data governance"?

A. Marketing strategy.

B. Processes and structures to manage data quality, security, and use.

C. The audit report.

D. The budget.

Correct Answer: B

Q369 – Explanation

Correct: B. Data governance manages data quality, security, and use.

A wrong: Marketing is unrelated.

C wrong: The report is an output.

D wrong: The budget is a resource.

Q370

Question: An auditor is testing a public-sector entity's compliance with a procurement law. Which is the MOST likely red flag?

A. Competitive bidding.

B. Non-competitive awards to related parties.

C. Documented approvals.

D. Timely payments.

Correct Answer: B

Q370 – Explanation

Correct: B. Non-competitive awards to related parties are a procurement red flag.

A wrong: Competitive bidding is a control.

C wrong: Documented approvals are positive.

D wrong: Timely payment is positive.

Q371

Question: Which is the MOST likely effect of a data breach on an organization?

A. Increased revenue.

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C. Stronger controls.

D. Better marketing.

Correct Answer: B

Q371 – Explanation

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Q375

Question: Which is the MOST likely risk of an organization relying heavily on spreadsheets for key financial processes?

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B. Errors, manipulation, and lack of audit trail.

C. Faster reporting.

D. Better documentation.

Correct Answer: B

Q375 – Explanation

Correct: B. Spreadsheets have higher error/manipulation risk and weak audit trails.

A wrong: Controls may be weaker.

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Q376

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Q376 – Explanation

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Q377 – Explanation

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Q378

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Q378 – Explanation

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Q379 – Explanation

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C. The audit report.

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Q400

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A. Competitive bidding.

B. Non-competitive awards to related parties.

C. Documented approvals.

D. Timely payments.

Correct Answer: B

Q400 – Explanation

Correct: B. Non-competitive awards to related parties are a procurement red flag.

A wrong: Competitive bidding is a control.

C wrong: Documented approvals are positive.

D wrong: Timely payment is positive.

End

End of Questions 301–400

Review, repeat, and mark weak areas.

Add more questions by copying the Q/Explanation frame pairs.